

Blue Chip	$\frac{2}{1.16} + \frac{2.5}{(1.16)^2} + \frac{3+200}{(1.16)^3} = \text{Rs.}133.63$
Mature Share	$\frac{2}{1.17} + \frac{2.5}{(1.17)^2} + \frac{3+200}{(1.17)^3} = \text{Rs.}130.28$
Growing Company	$\frac{2}{1.18} + \frac{2.5}{(1.18)^2} + \frac{3+200}{(1.18)^3} = \text{Rs.}127.04$
New Company	$\frac{2}{1.19} + \frac{2.5}{(1.19)^2} + \frac{3+200}{(1.19)^3} = \text{Rs.}123.91$

It would be noted that the safer the share, the higher its intrinsic value.

There is however one factor that is assumed or estimated and that is the price at the end of three years. The most reasonable method (even though this is arguable), in my opinion is basing the price on a price earnings multiple. The price earnings multiple or P/E of a share is its market price divided by its earnings per share. If a company has earned Rs. 7 per share in the current year representing a growth of 20% and if it is conservatively believed that the earnings per share (EPS) will grow 15% every year:

- EPS at the end of: Year 1 will be Rs. 7.70
- EPS at the end of: Year 2 will be Rs. 8.47
- EPS at the end of: Year 3 will be Rs. 9.32.

If it is believed that a reasonable P/E for a company of such a size in that industry should be 15, the market price at the end of 3 years would be $9.32 \times 15 = \text{Rs. } 139.80$.

Let us now look at a real example. On 31 May 2010 the price of the shares of a company was Rs. 465. The company declared a dividend of 65% for the year ended 31 March 2010 and an earnings per share of Rs. 13.3. If we assume that this dividend will remain constant, and that a P/E of 20 is reasonable, the intrinsic value of the company's share should be Rs. 266. If the company's earnings grow at 20% per year the EPS at the end of 3 years would be Rs. 22.98 ($13.3 \times 1.20 \times 1.20 \times 1.20$). On that assumption, the price at the end of 3 years would be Rs. 459.60 ($\text{EPS} \times \text{P/E of } 20$). Based on an expected return of 20%, the intrinsic value today will therefore be: